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MARKETS OVERVIEW

Bond Markets

	In %	In bps			
	16/10/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	3.06	+0.6	-14.2	+97.6	+116.9
Bund 5Y	3.18	-4.0	-11.8	+72.1	+106.7
Bund 10Y	3.38	-8.5	-10.1	+52.2	+85.6
OAT 10Y	4.68	-6.9	+31.2	+118.6	+140.9
BTP 10Y	4.48	-16.1	+10.5	+98.3	+113.3
BONO 10Y	3.96	-12.4	+3.7	+71.9	+93.1
Treasuries 2Y	4.72	-10.6	-2.1	+124.0	+128.4
Treasuries 5Y	4.88	-18.5	+1.4	+115.9	+133.5
Treasuries 10Y	5.07	-1.2	+6.1	+90.9	+3.2
Gilt 2Y	4.74	+3.5	+6.3	+98.0	+87.2
Treasuries 5Y	4.99	+0.1	+13.6	+114.5	+114.3
Gilt 10Y	5.38	-3.9	+7.7	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	16/10/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.13	+0.4	-2.5	-4.2	-3.6
GBP/USD	1.34	+1.0	-0.7	-0.7	-0.6
USD/JPY	157.93	-0.0	+1.8	+0.8	+4.7
DXY	101.84	-0.3	+1.6	+3.6	+1.6
EUR/GBP	0.84	-0.6	-1.7	-3.5	-3.0
EUR/CHF	0.93	-0.6	-2.0	-0.5	-0.3
EUR/JPY	177.72	+0.4	-0.7	-3.5	+0.9
Oil, Brent ($/bbl)	109.93	+9.5	+3.9	+80.7	+79.8
Gold ($/ounce)	4180	+1.0	-4.0	-3.3	-2.1

Equity Indices

	Level	Change, %			
	16/10/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World ($)	4908	-0.9	+0.6	+10.8	+14.3
North America					
S&P500	7659	-1.5	+1.4	+11.9	+15.5
Dow Jones	52002	+1.4	+1.1	+8.2	+13.2
Nasdaq composite	26140	-4.9	+0.6	+12.5	+15.9
Europe					
CAC 40	7957	+1.6	-2.3	-2.4	-2.8
DAX 30	25623	+1.5	+0.3	+4.6	+5.6
EuroStoxx50	6204	-0.6	-1.0	+7.1	+9.8
FTSE100	10882	+3.7	+1.8	+9.6	+15.3
Asia					
MSCI, loc.	1934	-1.9	+0.0	+14.5	+18.7
Nikkei 225	65324	-6.6	+2.2	+29.8	+35.3
Emerging					
MSCI Emerging ($)	1621	-6.9	-3.9	+15.3	+17.5
China	70	-1.0	-3.0	-15.5	-19.0
India	910	+3.2	+0.0	-14.0	-13.9
Brazil	2148	-2.5	+11.8	+30.5	+43.5

Performance by sector

Eurostoxx600

Year 2026 to 16-10, €

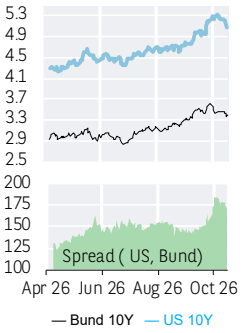
+43.5%	Oil & Gas
+22.0%	Technology
+21.8%	Chemical
+21.5%	Commodities
+12.9%	Banks
+12.3%	Utilities
+8.9%	**Eurostoxx600**
+8.2%	Industry
+8.0%	Telecoms
+7.6%	Food industry
+7.2%	Insurance
+5.4%	Financial services
+2.1%	Media
+1.3%	Retail
+0.8%	Health
-1.2%	Travel & leisure
-6.3%	Real Estate
-8.7%	Construction
-12.9%	Consumption Goods

S&P500

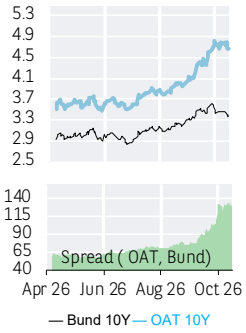
Year 2026 to 16-10, $

+52.7%	Energy
+33.2%	Tech. Hardware & Equip.
+29.8%	Semiconductors
+22.3%	Pharmaceuticals
+16.9%	Food, Beverage & Tobacco
+12.4%	Materials
+11.9%	**S&P500**
+11.4%	Retail
+9.9%	Capital Goods
+5.5%	Insurance
+4.1%	Consumer Discretionary
+3.6%	Media
+0.8%	Bank
+0.7%	Healthcare
-1.1%	Utilities
-2.5%	Commercial & Pro. Services
-6.3%	Consumer Services
-6.8%	Telecoms
-19.4%	Automobiles
-30.3%	Real Estate

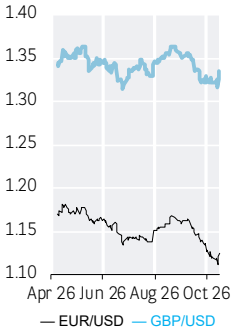
Bund 10Y & US Treas. 10Y



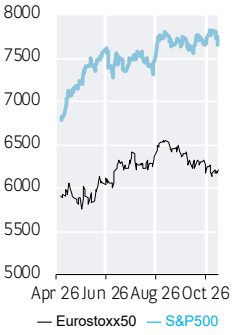
Bund 10Y & OAT 10Y



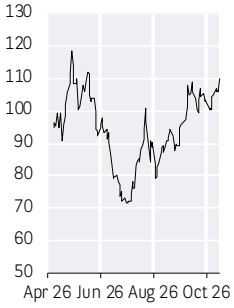
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



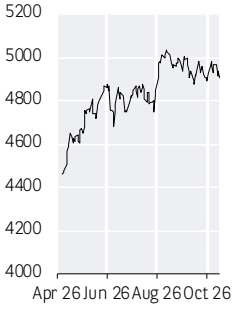
Oil, Brent ($/bbl)



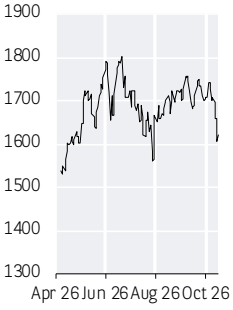
Gold ($/ounce)



MSCI World ($)



MSCI Emerging ($)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB

CHART OF THE WEEK

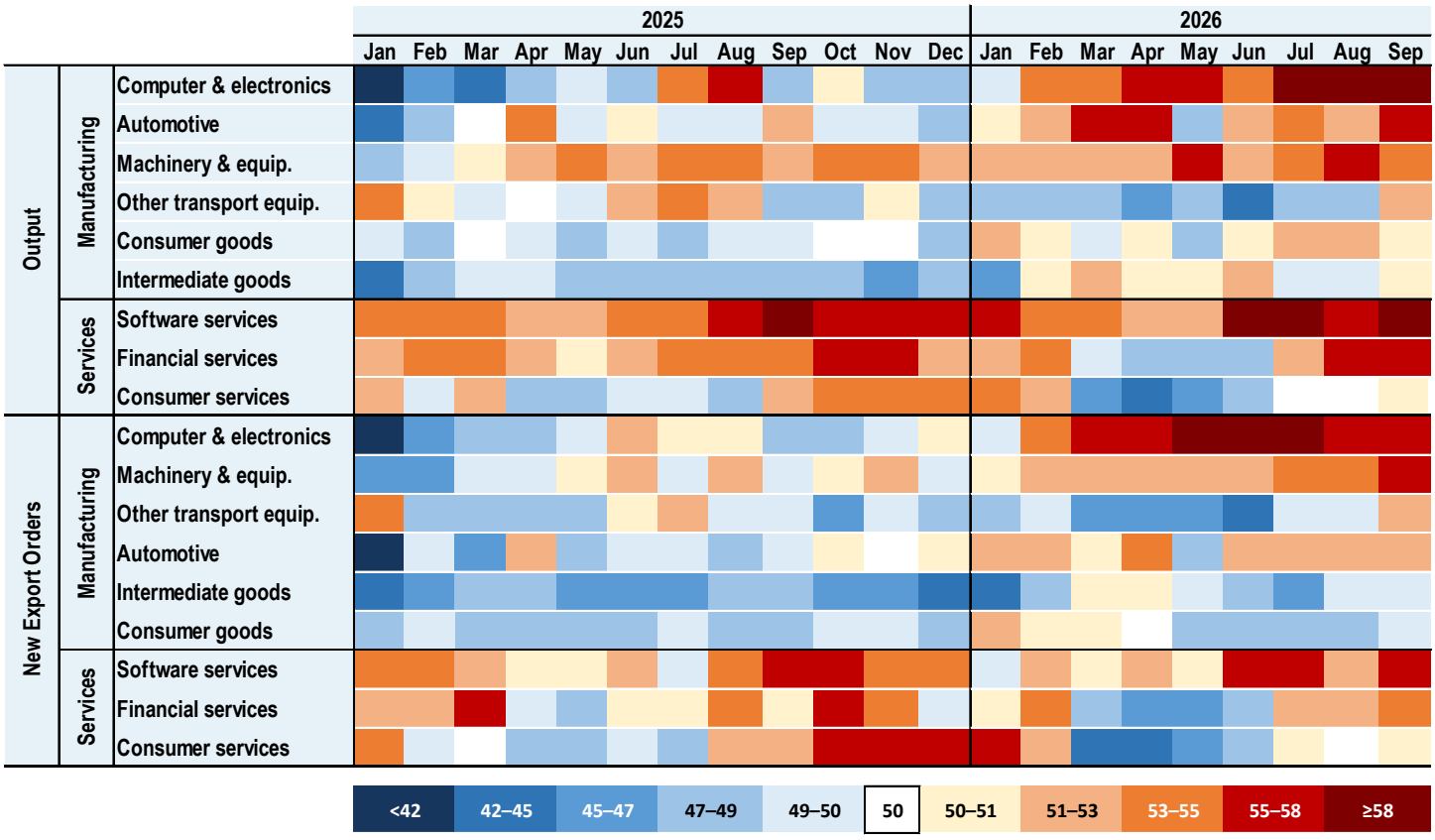
14 October 2026

EUROZONE: IMPROVING BUSINESS SENTIMENT, DRIVEN BY TECH, IS SPREADING TO OTHER SECTORS

Stéphane Colliac & Tarik Rharrab

The September PMI surveys confirm that growth in the Eurozone is getting stronger, boosted in particular by new export orders, which are still rising. Sectors that were already performing well – technology and capital goods (including for defence) – are continuing to grow, while those that had been struggling until now – aeronautics, consumer goods and financial services – are seeing their production indices recover. This strong performance is particularly noteworthy, given that it has not yet been undermined by higher inflation.

Eurozone sectoral PMI indices: production and new export orders are strengthening across more sectors



SOURCE: S&P GLOBAL, BNP PARIBAS

The heatmap shows the PMI index readings: a reading above 50 indicates expansion, while a reading below 50 signals contraction compared to the previous month. For each indicator, sectors are ranked in descending order based on their September 2026 reading.

Shades of red represent values above 50, while shades of blue represent values below 50: the intensity of the colour increases the further away they are from this threshold.

Production growth spreads to more sectors

The PMI surveys on business sentiment confirm that business activity in the Eurozone is expanding at a faster pace and spreading to more sectors. Household-consumption-related sectors (goods and services), which were adversely affected in the spring by the outbreak of the conflict in the Middle East, do not appear to be negatively impacted by the rising inflation observed since August. The aeronautics sector, where production has mainly been limited by supply constraints, is also showing signs of improvement.

These trends, although still moderate, come alongside a drive to upgrade equipment, fuelled by investment in digital technology, electrification (which is supporting the automotive sector) and defence. The momentum in technology goods and services further strengthened in September. The production index for computer and electronics hit a five-year high, while the software services production index stayed close to its July peak. Financial services are also enjoying a significant improvement, reflecting the healthy lending momentum despite interest rates starting to rise (see our analysis).

Growth driven by exports

Exports drove growth in the first half of 2026, both across the Eurozone as a whole (see our analysis) and among its key members (notably Germany). This momentum is also increasing, as indicated by the 'new export orders' component of the various PMI indices. As was the case with production, there has been a particularly noteworthy increase for capital goods (technology and machinery) and related services, particularly digital services. This trend is playing out more broadly, as, in September, new export orders rose across all sub-sectors, with the exception of intermediate goods and consumer goods, where contraction recently eased. There has been a significant improvement in the transport sector, particularly in the aeronautics industry, which has major markets in Asia. Recent data on French exports show that aeronautics exports to this region are rising once again.

The convergence between rising production and increasing export-order backlogs shows that Eurozone growth is based on an increasingly solid foundation. Inflationary pressures are not holding it back for the time being.

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With the help of Ece Usta (intern).

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EDITORIAL

WHAT SECTOR ANALYSIS TELLS US ABOUT EUROPE'S RECOVERY, TWO YEARS AFTER THE "DRAGHI" REPORT

In 2026, the European economy will not perform better than it did in 2025. At 1.4% (IMF estimate), its growth remains half as fast as in the United States. Still, there are more and more signs that Europe is regaining strength. The energy crisis, which has now been ongoing for eight months, would have caused it to halt in other times. Beneath an apparent sluggish activity, productivity is rebounding, while many sectors are picking up steam.

Insufficient growth and innovation, a technological lag, and an excessive dependence on China and the United States: two years ago, the "Draghi" report painted a troubling picture of Europe and laid the groundwork for a massive effort to revive the economy. Almost immediately afterwards, the European Union (EU) adopted a "competitiveness compass," with the primary aim of strengthening its strategic autonomy.

A 3D OUTLOOK: DEFENCE, DIGITALISATION, DECARBONISATION

Unsurprisingly given the geopolitical context, the most significant initiatives focused on defence: since March 2025, the SAFE (Security Action for Europe) instrument has enabled the Commission to raise funds on the markets (up to EUR 150 billion) to support member states in implementing the "Readiness 2030" rearmament programme[1]. Here, the planning stage has long been surpassed, and disbursements for the acquisition of military equipment are accelerating. According to the EDA (European Defense Agency), European defence spending is projected to reach EUR 454 billion in 2026, already 30% more than in 2024.

The EU-27 have also set out to catch up in the field of artificial intelligence (AI), committing up to EUR 200 billion in investments through public-private partnerships. From fostering a culture of AI to promoting and retaining talents, supporting startups, and sharing experiences and data, the initiative is designed to be comprehensive. Its cornerstone is a dedicated EUR 20 billion fund, co-financed by the Commission and the European Investment Bank, which aims to establish five "giga-factories" across Europe capable of hosting and training the most powerful AI models.

The EU is also leading the counteroffensive on other fronts, such as the supply of critical metals, which it is seeking to secure through trade agreements (most recently with Australia and South Africa)[2], and the accelerated decarbonisation of the economy (with specific support provided to energy-intensive sectors). Its "Clean Industry Pact" is expected to receive up to EUR 100 billion in funding from the Innovation Fund or the European Union Emissions Trading System.

BENEATH THE SURFACE WINDS, SUPPORTIVE CURRENTS

In a report dated June 2026, the Institut Montaigne estimated that nearly one-third of the recommendations in the "Draghi" report had been implemented. Even before taking up the report, the EU had already launched a significant investment effort through its NextGenerationEU (NGEU) program: EUR 573 billion distributed *via* the Recovery and Resilience Facility (RRF) between 2020 and 2026, with a focus on energy infrastructure (particularly renewables), railway, digital & connectivity[3]. According to the Commission, two-thirds of the 6,000 "milestones and targets" assigned to governments have already been linked to the RRF[4].

European industry: penalised by the automotive sector, driven by defence, the energy transition, and artificial intelligence

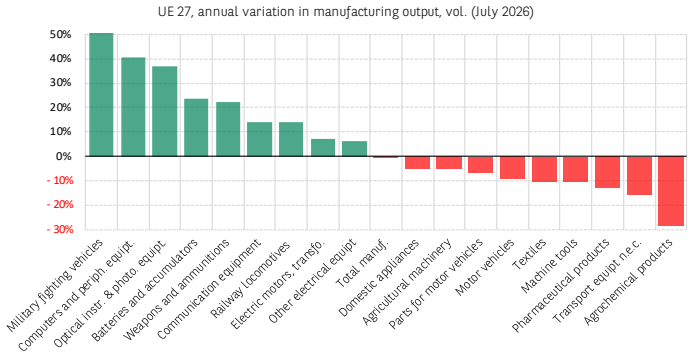


CHART 1 SOURCE: EUROSTAT, BNP PARIBAS

The first signs of a recovery in productivity in Europe

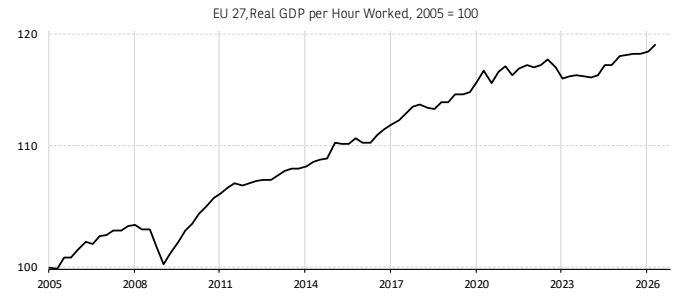


CHART 2 SOURCE: EUROSTAT, BNP PARIBAS

1 That amounts to EUR 800 billion to be committed in the EU by the end of the decade, which would bring defence budgets to 3.5% of GDP, up from 2.4% of GDP in 2026 (estimated figure). *See* Colliac, S. (2026), "Readiness 2030: One Year After Its Launch, the European Rearmament Plan Is on Track," BNP Paribas EcoWeek, March.
2 Since 2025, critical metals have also been the focus of "strategic projects" for extraction in Europe, with the European Commission having just launched an ambitious second wave, targeting lithium and cobalt in particular. *See:* Commission Selects 46 New Strategic Projects to Bolster the EU's Supply of Critical Raw Materials
3 *See* Derrien G. (2026), "Next Generation EU: The Program Is Nearing Its End, but Its Impact on Economic Activity Will Endure," BNP Paribas Chart of the Week, September 23.
4 NextGenerationEU Shows Strong Delivery Record as Implementation Reaches the Finish Line, October 7, 2026.

What are the results on the ground? An analysis based solely on GDP trends would not be conclusive: after a rebound in 2025, European growth is projected to slow slightly in 2026. The International Monetary Fund (IMF) estimates it at 1.4%, a rate nearly half that expected in the United States.

In fact, the EU is showing remarkable resilience in the face of another major energy shock that, in other times, might have pushed it into recession. The German economy, one of the most exposed, is even gaining momentum despite headwinds, a sign that, beneath the surface, certain trends are gaining traction.

To assess the conflicting forces that have been shaping the European economy since the publication of the "Draghi" report, a sectoral breakdown may prove useful. In particular, it allows to quantify the ongoing transformation of the automotive industry, where a 150-year-old technology — the internal combustion engine — is gradually giving way to electric power.

TRANSFORMATION OF THE AUTOMOTIVE SECTOR

Year in and year out, European automakers are continuing their transformation. After a lull in 2023-24 due to a decline in government subsidies, European production of electric vehicles is picking up again (+30% in 2025). In 2026, based on figures from the battery sector (production up 25% y/y in July), this momentum continues. However, the volumes involved (3.2 million electric vehicles assembled annually in Europe compared to nearly 17 million in China, representing 75% of the global market[5]) remain too low to offset the decline in sales in the traditional internal combustion engine sector.

Compared to its pre-COVID average (2015-19), total European automobile production has thus fallen by 30% in volume — a historic slump. In 2026, against a backdrop of soaring fuel prices, the trend remains negative (down 9.6% y/y in July, according to Eurostat). Upstream in the supply chain, automotive suppliers, machine tool manufacturers, and metal manufacturers are struggling (*see Chart 1*).

THE RISE OF AI

As an example of "creative destruction," artificial intelligence is becoming, alongside the energy transition, a driving force for the European economy, as evidenced by the boom in related industries. In Germany, the difficulties of the automotive sector stand in stark contrast to the strong momentum in orders for electrical and electronic equipment. In Europe, the production of IT equipment (computers, peripherals, etc.) is growing at a rate of 40% per year — a level not seen since the rapid digitalisation that accompanied the 2020-21 health crisis. Generally speaking, most sectors involved in generating or transmitting electricity (generators, transformers, cables, etc.) are currently outperforming the average. This is also true of the rail industry (locomotives and other rolling stock), driven by "green" investment efforts undertaken as part of the NGEU program.

DEFENCE EFFORTS

If there is one area where actions finally match commitments, it is defence. Fighting vehicles, weapons and ammunition, as well as telecommunications and optical equipment — which are ubiquitous in drone systems — are all sectors where production volumes are breaking records and growth rates range from 20% to 50% annually.

***

Far from the image of stagnation it often projects, the EU has, for several years now, been making a significant effort to modernise and strengthen the foundations of its economy. Although close to its end, the NGEU programme will continue to support investment, while initiatives taken in the wake of the "Draghi" report are generating further momentum. Sectoral analysis also shows that Europe is catching up with the AI wave — admittedly belatedly, but with increasing momentum.

Whether by coincidence or as a result, its hourly productivity has rebounded significantly over the past few quarters, returning to the 1% annual growth rate it had before the pandemic (*see Chart 2*). Finally, contrary to a fairly widespread belief, European companies have largely managed to maintain their competitiveness. Aside from the very specific case of China, their trade in manufactured goods outside the EU has tended to strengthen in recent years[6].

Jean-Luc Proutat
jean-luc.proutat@bnpparibas.com

5 Data from 2025. Source: IEA (International Energy Agency), Global EV Outlook, 2026.
6 *See* Derrien, G. (2026), "When it comes to China, Europe should focus less on its trade deficits and more on its investments," BNP Paribas EcoWeek, October 5.

Find out more in our scenario and forecasts

ADVANCED ECONOMIES

EUROPEAN UNION

Stronger trade posture pays off. The EU and China have agreed to restrain hybrid cars exports to the EU to a level half or less than currently projected over the next four years, cutting exports by "several million units" though still allowing them to rise. China also agreed to drop its tariffs on EUR 4 bn of EU exports and provide easier access to Chinese rare earths and magnets under a fast-track licensing scheme. These announcements were made at the conclusion of EU Trade Commissioner Maroš Šefcovic's visit to Beijing, following a recent escalation in trade tensions. Meanwhile, France and Germany released a joint non-paper on *Strengthening European resilience, addressing global macroeconomic imbalances and market distorting practices* calling notably for:

i) Broadening the tools the European Commission may use to address unfair trade practices (including undervalued exchange rates) or import surges;

ii) Procedural changes to make them easier to use (qualified majority of member states needed to block rather than authorise them). These measures will be discussed during the next EU council on October 15-16th.

The European Commission also unveiled a new critical materials package involving 46 strategic extraction, processing or recycling projects spread across 16 member states (including 5 in France). The goal is to reduce the EU's dependence on China for critical metals.

EUROZONE

Price pressures are broadening, activity holds up. Producer price inflation accelerated further in August (8.3% y/y[1] from 5.8%), driven by energy. Pressures are becoming more widespread, notably in capital goods and above all intermediate goods (6.8%). They are partly offset by non-durable consumer goods, which remain in deflation (-0.8%). Given the PPI's close correlation with the HICP, this points to further upside risks to consumer inflation. On the activity front, final September PMIs confirmed the flash estimates, with the composite index still solid at 53.1 and the manufacturing index stable at 52.7. The construction PMI improved but remains depressed (43.4; +0.4 pt). Retail sales edged up 0.1% m/m[2] in August.

France

Modest spread relief as budget positioning starts. The spread between French and German 10Y yields narrowed to 136 bps[3] on October 9 (mostly thanks to a decline in the French yield). As the Finance Committee of the National Assembly started discussing the 2027 budget, the government reiterated its strong intent not to deviate from the 5% of GDP deficit target and to get a budget adopted in time, likely without a vote. This is the most likely outcome — but not to be implemented before 10 December (given mandatory timelines) — which effectively removes any incentive for MPs to back unpopular measures during the process. We can therefore expect heated debates (including multiple no-confidence votes being tabled but rejected) and a lack in fiscal discipline. In parallel, the "Rassemblement National" party ("National Rally" in English) presented its fiscal strategy, which includes an alternative budget for 2027 and an aggressive fiscal consolidation path throughout 2032. The party called for a referendum to constitutionalise a "golden rule" that would require a deficit at least 0.5 pp below the debt-stabilising threshold (roughly 3% of GDP), as long as the public debt ratio exceeds 60% of GDP. The golden rule would require a budget balance adjustment of 0.5 pp per year if the fiscal deficit is more than 1 pp above the stabilising threshold. The adjustment measures put forward lack specifics but likely overstate savings, understate costs and rely on overly optimistic growth assumptions (despite large fiscal consolidation, at least 1.7% annually over the next three years — a pace reached only 4 times in France since 2008, apart from post-pandemic reopening, and well in excess of the roughly 1% growth potential estimated by most international institutions). That said, it is significant that this party has chosen to fly the flag for fiscal discipline loud and clear. Other parties should do the same.

Activity is holding up. New vehicle registrations rose 11% y/y in September, confirming a marked acceleration over the past three months (+9.4% y/y in Q3). In Q3, growth came entirely from electric vehicles (+112% y/y), whose share of registrations reached an all-time high (38% in Q3, 41% in September). Export growth continued in August, both in services (+5.2% y/y YTD) and in goods (+5.6% y/y YTD) — though driven by prices rather than volume in the latter case. Manufacturing output posted only a moderate rebound in August (+0.3% m/m; following cumulative declines of 2.8% over the previous three months), limited by renewed supply constraints in Q3 (which limited production at 31.5% of companies; +5 pp compared to H1). Industrial production fell (-0.3% m/m) as a result of a decline in electricity production (-2.4% m/m) driven by the heatwave. Credit growth remains dynamic. Bank and market financing to NFCs saw steady growth in August (+4%). New housing loans rebounded slightly in August (EUR 12.2 bn) following a relatively weak July, whilst interest rates continued to rise. Consumer credit remained buoyant.

Upcoming: Banque de France monthly Business Survey (Monday), Business creations in September (Friday).

Germany

Bullish official growth forecast upgrade despite mixed data. The German government raised its 2026 GDP growth forecast to 1.3% — the fastest pace since 2017 — from a prior estimate of 0.5%, citing stronger-than-expected exports and a surge in government spending. The 2027 forecast was also raised to 1.1% from 0.9%. Industrial production was stronger than expected in August (+2.3% y/y versus -1.7% in July; the highest level since March 2025 and higher than anticipated), driven mainly by strong growth in construction output, primarily in public works (+10.5%; to the highest level since November 2021). By contrast, manufacturing output fell by -0.2% (after +3.3% in July) due to a decline in transport equipment production (lowest level since April 2022). Likewise, new factory orders hit their lowest level in one year in August (-10.6% m/m). However, this decline is mainly due to a base effect. Export growth remains solid: +4.4% YTD, despite a -0.8% m/m decline in August. Exports to the Eurozone continue to rise (+6.3% y/y YTD), while exports to the U.S. have returned to positive territory (+1.1%) and those to China continue to decline (-12.9%). The trade surplus reached EUR 19.5 bn in August (+4% y/y YTD, despite a -9.8% m/m decline).

1 Year-on-year
2 Month-on-month
3 Basis points

Find out more in our scenario and forecasts

UNITED STATES

Mild slowdown in services and more rate hikes signaled. The non-manufacturing ISM survey fell 0.5 pp[4] to 54.9 in September due to a sharp slowdown in the business activity component (down 5.2 pp to 56.5 pp, still a robust expansion). Employment rose and supply pressures intensified for the first time since June, while the price gauge reached its highest level (74, up 1.4 pp) since 2022. Meanwhile, the minutes of the September FOMC meeting confirmed the Fed's hawkish outlook and noted that the AI-buildout carried growing weight in the reading of current inflation data and outlook. Governor Waller and St. Louis Fed President Musalem mentioned the need for additional rate hikes while remaining flexible on timing. The New York Fed survey of consumer inflation expectations showed them rising to 3.9%. We continue to expect two more hikes, the next one coming in December.

Upcoming: September CPI (Wednesday), September PPI and Retail Sales (Thursday), September Industrial Production (Friday).

JAPAN

Solid wage growth fails to lift household spending. Total wage growth eased to 3.8% y/y in August (down 0.5 pp) as bonus payments stalled (0% y/y, after 5.3% y/y in July). This allowed continued real wage growth at 1.5% y/y, extending an uninterrupted run of positive readings in 2026 as administrative measures kept inflation in check. However, this did not prevent real household spending from contracting in August for the ninth consecutive month (-3.1% y/y).

EMERGING MARKETS

The IIF reports that nonresident portfolio flows to EMs turned negative at -USD 26.3 bn in September, after USD 11.4 bn in August, the first net outflow since June, as a hawkish Fed lifted US real yields and the USD. Equity outflows reached -USD 19.2 bn, led by heavy foreign selling of Korean equities, while debt flows turned negative at -USD 7.0 bn as hard currency demand faded and EM credit spreads widened late in the month. Further hikes from DM central banks will create additional headwinds, but EM should remain resilient as long as global growth persists.

ASIA

China

Yuan policy defence. Coinciding with the Beijing visit of the EU trade commissioner, the People's Bank of China issued an unusually lengthy formal statement rejecting claims that the yuan is undervalued and defending its exchange-rate management by reiterating that it has a 'floating exchange rate regime' with reference to a basket of currencies. It further argued that China's trade surpluses are driven by rising industrial competitiveness rather than currency under-devaluation and that exchange-rate adjustments will not resolve structural global imbalances. Nonetheless, it allowed the yuan to hit a four-year high vs. the CFETS basket — bringing its year-to-date gain to 5.7%. The PBOC set the USD/CNY's reference rate at 6.7330, the strongest level since 2023.

India

Monetary tightening. The RBI raised its repo rate by 25bp to 5.5%, its first hike since February 2023, and shifted to a "calibrated tightening" stance amidst rising inflationary pressures. The RBI introduced new measures to stabilise the rupee, including direct dollar supplies to state-owned oil companies and tighter restrictions on FX derivatives.

EUROPE, MIDDLE EAST, AFRICA

Central Europe

Cautious monetary policy stance amid mild inflation uptick. Poland's and Romania's Central banks kept policy rates unchanged at 3.75% and 6.5%, respectively. Inflation accelerated in September, with a mild uptick in the Czech Republic and Hungary (respectively 2.5% and 1.6% y/y) and a more entrenched increase in Poland (4% y/y). Inflation is now above the official target in the Czech Rep. and Poland, but fuel price caps in both countries should contain inflation dynamics.

Gulf

PMIs for September point for a firm but uneven non-oil recovery. Both Saudi and UAE PMIs stood at 55.3, driven mostly by export orders in the UAE and by domestic demand in Saudi Arabia. On the contrary, Qatar's PMI fell again (to 46.7), while Kuwait's PMI also declined but remained in expansionary zone (at 52.4).

Türkiye

Manufacturing production contracted by 1.6% m/m in August, the largest monthly decrease since the beginning of the year. On a y/y basis, it fell by 2.3%. Both domestic demand and exports seem to have contributed negatively to this poor outcome. On a positive note, in September, CPI inflation (1.9% m/m, 27.9% y/y) slowed more than the market expected, and exports rebounded.

LATIN AMERICA

Inflationary pressures slightly up across the region. In Brazil, headline CPI inflation accelerated to 4.6% y/y from 4.2% y/y in August (above the central bank's 4.5% target), partly reflecting the reversal of a temporary electricity price discount in August. In Mexico, inflation rose to 3.5% in September from 3.3% in August, while in Colombia it reached 6.3%, slightly up from 6.2% in August. Inflation remained high in Chile but was stable at 4.1%. In Peru, it was also slightly up (4.2% vs. 4.1%); the central bank kept its policy rate unchanged at 4.25% for the thirteenth consecutive month but maintained an upward bias amid rising inflation and energy prices.

COMMODITIES

Energy: Limited relief. Continuation of skirmishes in the Gulf of Hormuz and escalation of the conflict between the Houthis and a Saudi-led coalition left oil prices fluctuating around $100/b for Brent. However, the complex security situation has been driving the cost of shipping to record high levels and the price of physical barrel to early April levels. Late on Friday, President Trump announced an agreement with Russian President Putin to release to global markets 4.8 million tonnes of diesel (roughly 8 days of European consumption), provided conditions in refineries allow for it, of which 300,000 tonnes immediately. The White House also announced a suspension of sanctions on Russia's exports of diesel until April 2027. Energy experts expect a de minimis price impact.

European gas prices (TTF) rose by 11.5% over the week to 82 €/MWh. EU gas inventories reached 73.6% of full capacities on October 11th (the official target is 80% at end October).

Food inflation rose sharply in September. The FAO's Food Price Index grew by 5.8% y/y, up from just 3% in August. This was driven by cereal (+17% y/y) and sugar prices (+15%).

4 Percentage points

CHART OF THE WEEK

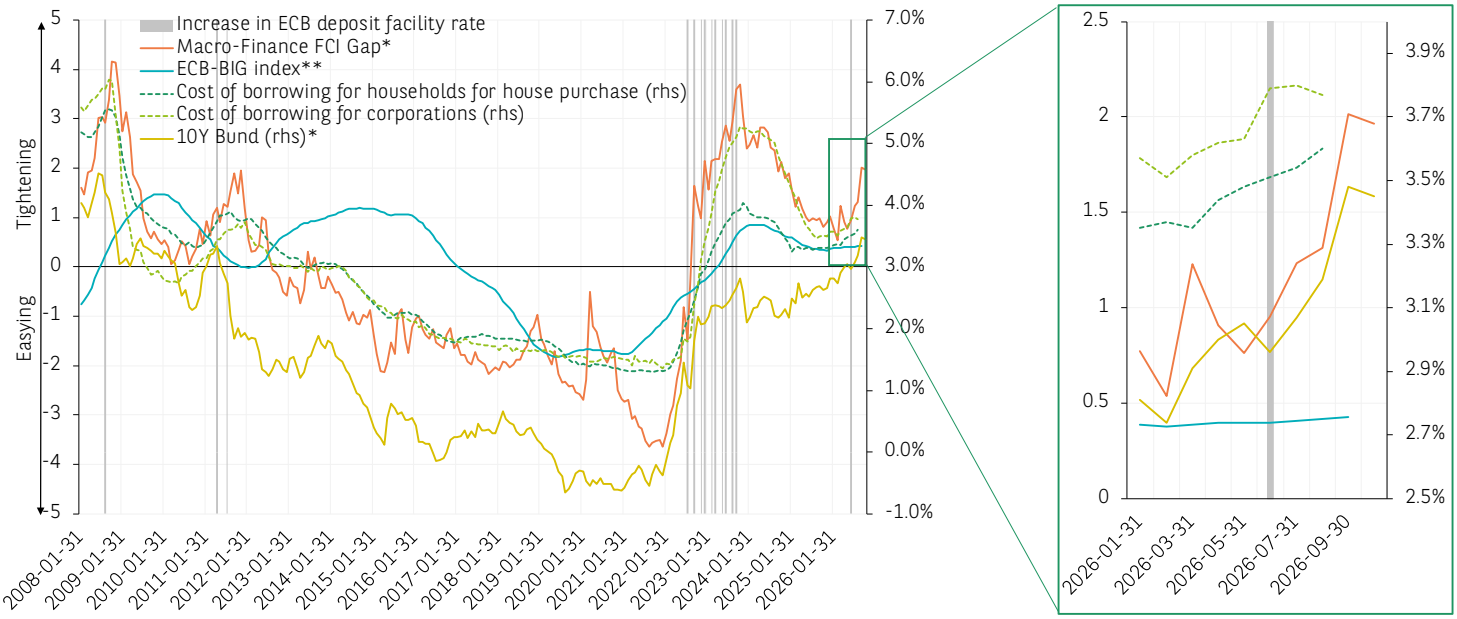
7 October 2026

FINANCIAL CONDITIONS IN THE EUROZONE: A TIGHTENING TEMPORARILY TEMPERED BY CREDIT VOLUMES

Thomas Humblot

Since June 2026, the ECB has been publishing[1] a new indicator that helps to assess the transmission of its monetary policy to the economy: the Broad Intermediation Gauge[2] (ECB-BIG). This new tool has revealed that, thus far, strong credit growth has limited the restrictive impact of tightening financial conditions caused by rising interest rates in the Eurozone. However, this offsetting effect is beginning to fade.

Credit volumes have temporarily cushioned the rise in interest rates



*LATEST OBSERVATION: 5 OCTOBER 2026 **ESTIMATE

SOURCE: ALLAYIOTI AND AL. (2026), ECB, BLETZINGER ET AL. (2026), BNP PARIBAS ESTIMATES

The ECB-BIG: a new indicator for a broader view of financial conditions

The ECB-BIG complements the range of indicators used by the European Central Bank (ECB) to assess the effective transmission of its monetary policy. This new tool provides a comprehensive view of how restrictive (or expansive) financial conditions are in the Eurozone. It stands out for its approach that focuses more specifically on intermediation conditions. Therefore, the ECB-BIG provides a more comprehensive view than most other financial condition indicators of financial conditions. In fact, it covers variables relating to the volume of bank lending to households and businesses (the 'volume' component). Traditionally, this type of indicator tends to focus more on market variables (primarily interest and exchange rates), share prices and corporate spreads. In addition, the 'price' component of the ECB-BIG is extended to include the cost of bank loans, which is another new feature.

The rise in interest rates was temporarily offset by increased lending

By aggregating the variables relating to banking and non-banking intermediation conditions, the ECB-BIG shows that rising interest rates (negative price effect) were offset in particular by lending volumes, which have continued to rise in 2026 (positive volume effect). A more 'traditional' indicator of financial conditions, the Macro-Finance FCI (MF-FCI) — which is, incidentally, included in the ECB-BIG — reveals a much more pronounced tightening over the same period (*see the orange curve in the chart*). However, this offsetting of the price effect by the volume effect is now beginning to wane, a sign that monetary policy is being effectively transmitted to the economy. Financial intermediaries are gradually passing on the rise in rates to their customers (*see the dotted green lines, which represent the composite indicators of the cost of new loans to households and businesses, combining interest rates for different maturities*), while lending volumes are falling. As a result, between July and August 2026, seasonally adjusted flows of loans to households and businesses almost halved.

1 P. Lane, 2026, The Outlook for the Euro Area Economy, Background slides for Reuters NEXT Europe, London, 16 June 2026
2 A. Allayioti et al., 2026, The ECB-BIG index: tracking credit conditions in the euro area, ECB Economic Bulletin, Issue 5/2026

In the longer term, financial conditions are expected to tighten, including as measured by the ECB-BIG

Despite the very sharp widening of sovereign spreads between 28 September and 2 October, financial conditions as measured by the MF-FCI did not tighten, with sovereign yields actually falling over this period (with the exception of the OAT and the BTP), for example. Nevertheless, the high volatility of the bond market, particularly in the sovereign segment, is likely to continue to affect financial conditions. Looking slightly further ahead, the ECB's key interest rate rises — the one that occurred on 16 September and another that we anticipate for December 2026 (both +25 bp) — are likely to result in a more pronounced tightening. With a time lag of a number of weeks, financial conditions, as defined by the ECB-BIG, are also expected to tighten. The price effect is likely to lead to a negative volume effect on this occasion.

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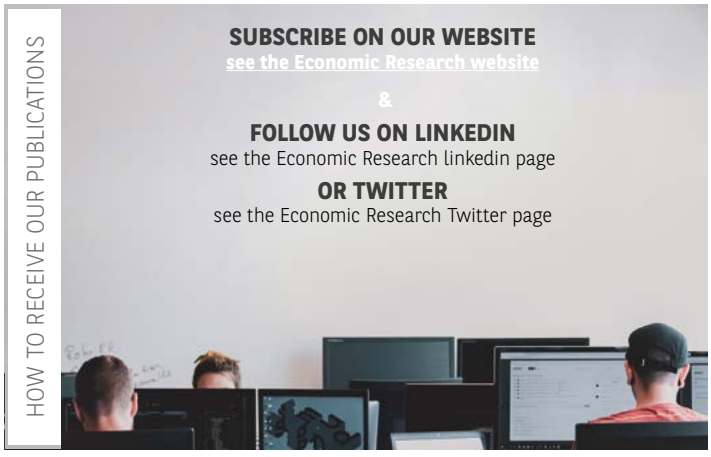
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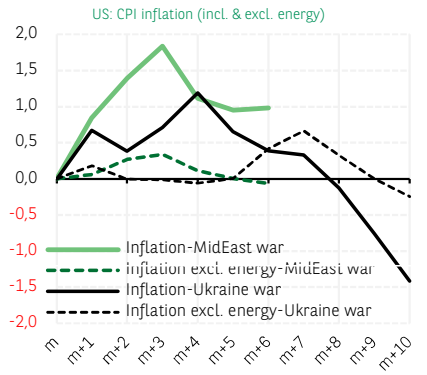
United States: Elevated inflation and high growth

U.S. macroeconomic performance has remained solid since the onset of the shock, as illustrated in particular by Q2 growth of +3.8% and +9% (annualized quarterly rate) in consumer spending and private nonresidential investment, respectively.

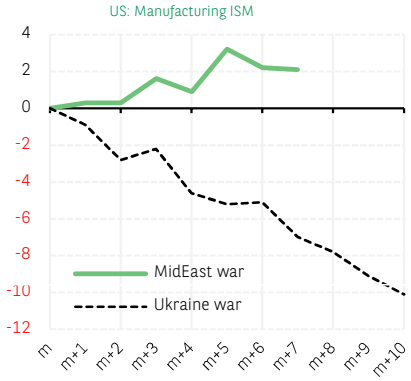
In the manufacturing sector, business sentiment has gained momentum despite the shock, while the impact of this shock on the services sector has remained very limited. The immediate reaction of consumer confidence was, however, more negative before beginning to improve, which was nevertheless interrupted in August (latest available data for households' sentiment on their future personal financial situation). The University of Michigan's composite indicator continued to deteriorate in September, due to the sharp rise in fuel prices. But declining confidence still does not translate into reduced spending—at least not at the aggregate level.

On the inflation front, the spike immediately following the outbreak of the conflict in Iran was more pronounced than in the months following Russia's invasion of Ukraine. The decline in June still left inflation at a high level, but its stability in July and August was notable (3.4% y/y), as was the latest—the third consecutive—slight decline in inflation excluding energy in August (2.5% y/y, same rate as in February). Given the existing inflationary pressures, however, inflation is highly likely to resume its upward trend in September.

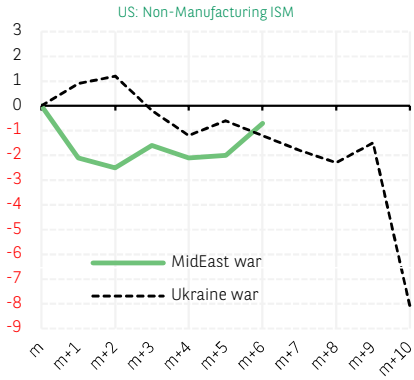
August 2026: Headline inflation resists to the upside



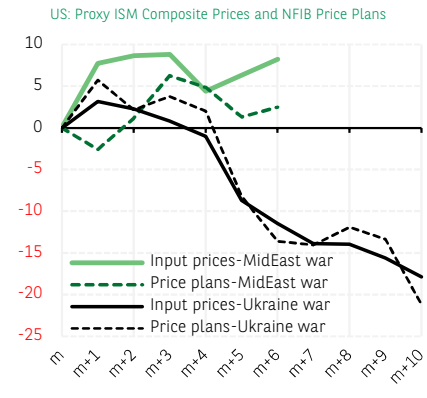
September 2026: Manufacturing business confidence remains stable at a high level



August 2026: Marked improvement in services business confidence, from an already high level

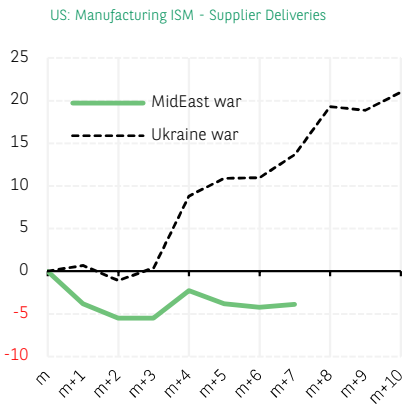


August 2026: Increasing inflationary pressures



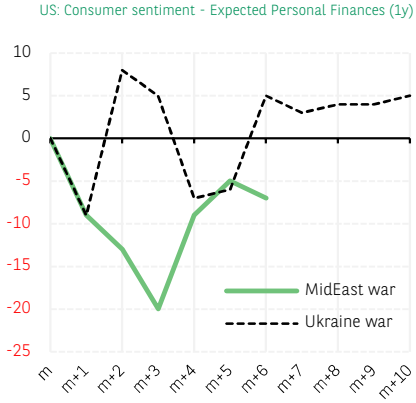
Price plans= companies stated plans to adjust their selling prices in the short term.

September 2026: Supplier deliveries do not get longer



Change since m = 0 = February 2026 / February 2022.
Unit: inflation change in percentage point, point for confidence surveys.

August 2026: Consumers are a bit more concerned about their personal finances



Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

CHART OF THE WEEK

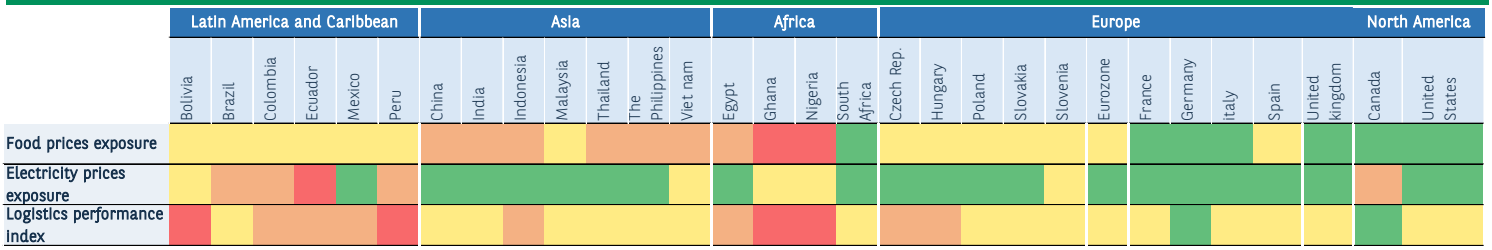
30 September 2026

EL NIÑO 2026–2027: MULTIPLE PRESSURES ON PRICES AND SUPPLIES

Hélène Drouot

The 2026–2027 El Niño climate event is expected to be one of the most intense in the last fifty years, with sea-surface-temperature anomalies potentially exceeding +3°C in the equatorial Pacific. According to the World Meteorological Organisation (WMO), El Niño is expected to persist until February 2027, with asymmetrical effects, as South-East Asia and northern Latin America will experience droughts, while southern Brazil and Argentina could see heavy rainfall. Above all, El Niño is compounding the effects of global warming and exacerbating existing extreme-weather events (droughts, floods and heatwaves). The economic effects of this climate shock mainly play out through three avenues: agricultural commodity prices, energy and logistics (*see heatmap*).

Vulnerabilities differ, depending on a country's dependence on food, energy and logistics



Exposition :
- Low (score 0-2)
- Moderate (score 2-5)
- High (score 5-7)
- Very High (score 7-10)

Reading note: Scores are standardised on a scale of 0 to 10 for ease of comparison between countries and supply channels.

- Food vulnerability: based on the weight of food in the CPI.
- Energy vulnerability: based on the share of hydropower in electricity generation.
- Logistics vulnerability: the 'Trade and transport-related infrastructure' component of the World Bank's Logistics Performance Index, which measures the quality of the infrastructure required for transport and international trade.

SOURCE: IMF, WORLD BANK, EMBER, BNP PARIBAS CALCULATIONS

Agricultural commodity prices: volatility is causing tensions, with inflationary effects

In India and South-East Asia, droughts will affect harvests, pushing up prices (particularly for coffee, cocoa, rice and palm oil). Conversely, in southern Brazil and Argentina, heavy rainfall will boost soya and maize production, putting downward pressure on prices. According to the IMF, El Niño causes global food prices to rise by between 5% (in a typical episode) and 8% (very high intensity) year-on-year, with the full impact being felt 6 to 12 months after the climatic peak.

Therefore, for a given country, the weighting of food in its inflation index (CPI) plays a decisive role. As a result, all other things being equal, an 8% rise in prices adds around 1 pp to inflation when food accounts for 13% of the CPI basket (average for countries shown in green on the heatmap), 1.8 pp when this share reaches 22% (yellow), 2.8 pp at 35% (orange) and nearly 4 pp above 49% (red).

The risks are skewed to the upside, as the 8% estimate does not take into account additional losses linked to droughts, floods and other extreme events, while policy responses to shocks (stockpiling by importers and increased export restrictions) may amplify and prolong price pressures. The rice market between 2023 and 2024 illustrates this well, as the combination of rice-export restrictions imposed by India in July 2023 (in order to protect its domestic market) and of the drought in South-East Asia contributed to a 30% average increase in the price of rice over the course of 2023 and kept global prices high for several months after the end of the El Niño episode.

Energy production sector: heavy reliance on hydroelectricity leaves the sector vulnerable to a second supply shock

Droughts will reduce hydroelectric power generation in Latin America and South-East Asia. As a result, some countries will have to turn to other, more expensive solutions, such as fossil fuels, against a backdrop of already high oil and gas prices. This shift will increase global demand for oil and put pressure on prices which, according to the IMF, could persist for up to four quarters after the initial El Niño shock. For example, in Colombia, where hydropower accounts for 55% of electricity generation, a 30% drop in output (already seen in 2023–2024) could increase the cost of electricity generation by 15 to 20% (assuming that the cost of thermal power generation is twice as high as hydropower). In Ecuador (where hydropower accounts for 70% of electricity generation) and Vietnam (30%), electricity shortages are likely to disrupt local industries.

Logistics: transport infrastructure is another point of vulnerability

The final channel relates to disruptions to freight transport against a backdrop of already weakened value chains. The variable used in our heatmap is a proxy for economies' abilities to absorb a shock (particularly a climate-related one) affecting their transport infrastructure (for example, by maintaining traffic flow, diverting or reorganising transport flows). The heatmap highlights the particularly high vulnerability of Latin America. Its capacity to absorb a logistics shock is relatively limited, and there is significant exposure at a strategic chokepoint, the Panama Canal, through which approximately 5% of global trade passes. Low rainfall in the canal basin has already led to the number of daily transits being reduced in September 2026 (as in 2023–2024); further restrictions are expected in October (to 29 transits per day, down from 36 in August), which will increase transport times and costs. Europe is also being affected, with low water levels on the Rhine and the Danube already disrupting river transport and electricity generation.

Latin America and South-East Asia are hit hardest

Therefore, the economies most at risk are not necessarily those that will suffer the greatest climate shock, but those where multiple transmission channels converge, including a high weighting of food prices in inflation, reliance on hydroelectricity, fragile transport infrastructure and limited fiscal room for manoeuvre. Latin America and South-East Asia are home to some of the most vulnerable countries, particularly due to their dependence on food prices and hydroelectricity. Colombia and Ecuador are noteworthy for their high exposure to energy risk, while Ghana, India and the Philippines are some of the economies most vulnerable to a food shock. Latin America faces a combination of vulnerabilities, such as high exposure to food and energy price shocks in some countries, which are compounded by logistics risks, as currently illustrated by the restrictions on traffic through the Panama Canal.

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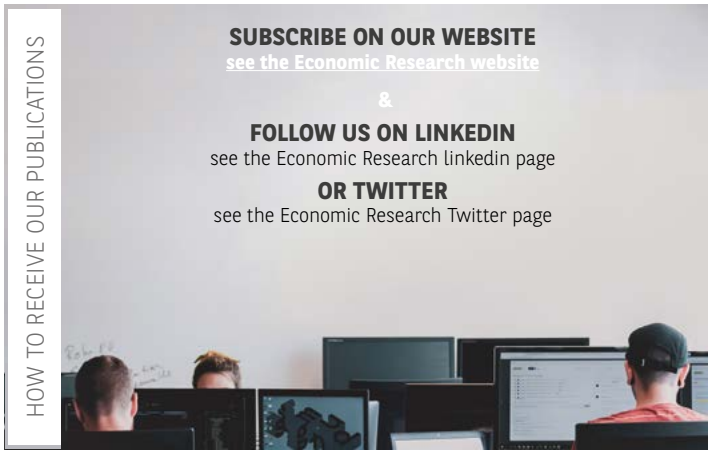
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